

Retail Research	IPO Note
Sector: Services	Price Band (Rs): 318 - 334
27th August 2024	Recommendation: Subscribe

ECOS (India) Mobility & Hospitality Ltd.

Company Overview:

ECOS (India) Mobility & Hospitality Limited is the largest and most profitable chauffeur driven mobility provider to corporates in India. The company's business model revolves around providing **Chauffeured Car Rentals (CCR)** and **Employee Transportation Services (ETS)** to corporate customers including Fortune 500 companies in India and has been in business for more than 25 years.

Key Highlights:

1. Unique Business Model: ECOS India provides Chauffeured Car Rentals and Employee Transportation Services to its corporate clients, wherein the CCR segment is a B2B2C business where the customers are corporate companies and the end consumer is an employee, client, guest or visitor of these corporate companies. The ETS segment offers corporates with solutions to manage their employee home-office-home ground transportation.

2. Pan-India presence: In FY24, the company provided CCR and ETS to 42 Fortune-500 companies, 60 BSE-500 companies, and fulfilled the requirements of more than 1,100 organizations in India. ECOS has a pan-India presence in 109 cities spread across 21 States and 4 Union Territories. CCR operations in 97 cities are conducted through vendors, allowing the company to operate on an asset-light model. The company provides ETS in 10 cities in India.

3. Multiple offerings and a focus on premiumization: The company manages a fleet of over 12,000 vehicles including economy, minivans, luxury cars and specialty options like luggage vans, vintage cars, and vehicles for accessible transportation for people with disabilities. Recently, it has focused more on premium vehicles due to increased demand with the share of premium bookings rising from 28.5% in FY22 to 35.5% in FY24.

4. Strong customer base and Digitisation: ECOS provides a wide range of services to customers across various industries including IT, business process outsourcing, healthcare, e-commerce, pharmaceuticals, etc. Prominent customers include InterGlobe Aviation, Deloitte Consulting India, IndusInd Bank, HDFC Life Insurance, Va Tech Wabag and Walmart Global Tech. The company offers chauffeur and customer mobile apps that allow users to manage bookings, track routes and access safety features.

Valuation: The Indian service sector is benefitting from the rise of Global Capability Centres (GCCs) which handle multiple functions from India for their parent companies. As of FY24, the company derives 66% of its revenue from GCCs. ECOS (India) Mobility is a key beneficiary of the increasing formalization of the corporate mobility sector. At the upper price band of Rs 334, the company is valued at FY24 P/E multiple of 32.0x. We recommend subscribing to the issue for both listing gains as well as long term investment horizon.

Issue Details	
Date of Opening	28 th August 2024
Date of Closing	30 th August 2024
Price Band (Rs)	318 – 334
Offer for sale (no of shares)	1,80,00,000
Fresh Issue (Rs cr)	-
Issue Size (Rs cr)	572 – 601
No. of shares	1,80,00,000
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	1,908 – 2,004
BRLMs	Equirus Capital Private Limited, IIFL Securities Limited
Registrar	Link Intime India Private Limited
Bid Lot	44 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NII shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,86,49,986	97.7
Public & Others	13,50,014	2.3
Total	6,00,00,000	100.0

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,06,49,986	67.7
Public & Others	1,93,50,014	32.3
Total	6,00,00,000	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,06,49,986	67.7
Public & Others	1,93,50,014	32.3
Total	6,00,00,000	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24
Revenue from operation	147.3	422.7	554.4
EBITDA	18.1	69.7	90.0
PAT	9.9	43.6	62.5
EBITDA Margin (%)	12.3	16.5	16.2
PAT Margin (%)	6.7	10.3	11.3
ROE (%)	13.8	37.9	35.2
ROCE (%)	19.0	40.9	42.7
PE (x)*	203.0	46.0	32.0

**Note: Pre-issue PE based on upper price band*

Source: RHP, SSL Research

Risk Factors

- **Outsourcing risk:** The company gets its technology requirements, mobile applications, backend systems and tools developed by an outsourced technological team who are not the employees of the company. If the outsourced team chooses to terminate its agreement or if the company is unable to renew such contracts on favorable terms, it may lead to adverse effects on the operations of the company as it highly depends on technology for its core operations.
- **Increasing competition:** ECOS Mobility & Hospitality operates in a highly competitive and fragmented industry which is characterized with the presence of well-capitalized competitors, low switching costs and low barriers to entry. The industry is also subject to pricing wars led by competitors with substantial capital which may lead to closure of inefficient players. Hence any efforts by the company to match the competitor's downward pricing may lead to material impact on its financials.
- **Employee Risk:** The company continues to rely significantly on Chauffeurs as it aims to expand its business and had about 750 contracted chauffeurs in FY24. Going forward any chauffeur shortages in the industry could force the company to spend more to attract and retain chauffeurs leading to increased compensation. If the company is unable to continue to attract and retain a sufficient number of chauffeurs or vendors, it could be required to operate with fewer vehicles and face difficulty in meeting customer demands.

Growth Strategy

- To expand global footprint & presence in the Tier-2 & Tier-3 cities in India
- To expand customer base with new customer acquisitions
- To maintain focus on technology to ensure operational efficiency
- To increase revenue from existing customers by expanding the sales team
- To capitalize on growth opportunities by leveraging the leadership position in the industry

Revenue Split – Segment Wise

Particulars	FY22		FY23		FY24	
	Revenue (Rs cr)	% of Revenue	Revenue (Rs cr)	% of Revenue	Revenue (Rs cr)	% of Revenue
CCR	84.5	57.4	216.4	51.2	240.0	43.3
ETS	57.1	38.8	194.8	46.1	303.3	54.7
Others*	5.7	3.9	11.5	2.7	11.1	2.0
Total	147.3	100.0	422.7	100.0	554.4	100.0

*Others include revenue from sale of traded goods, event management income and commission, and business support income

Source: RHP, SSL Research

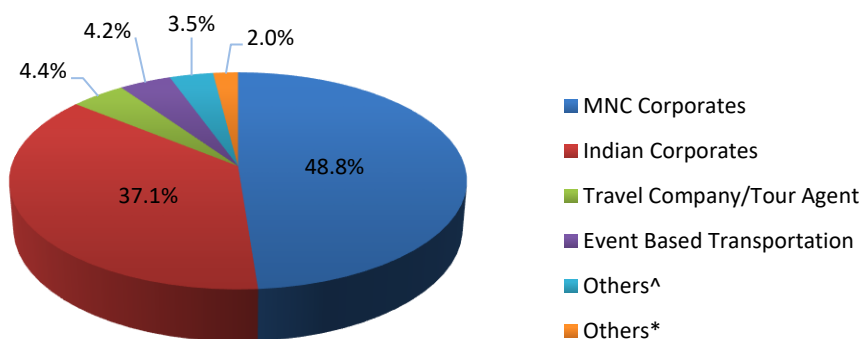
CCR Bookings Split – Vehicle Wise

Particulars	FY22		FY23		FY24	
	No. of Bookings	% of total bookings	No. of Bookings	% of total bookings	No. of Bookings	% of total bookings
Economy	1,44,616	67.9	2,93,251	63.6	2,88,325	60.8
Premium	60,797	28.5	1,52,819	33.1	1,68,261	35.5
Luxury	3,219	1.5	11,041	2.4	12,201	2.6
Buses/ Vans	4,442	2.1	4,197	0.9	5,694	1.2
Total	2,13,074	100.0	4,62,028	100.0	4,74,481	100.0

Source: RHP, SSL Research

Revenue Split- Customer Wise

Revenue Split from Customers (FY24)



^ Includes B2C, embassies, international business, individuals.

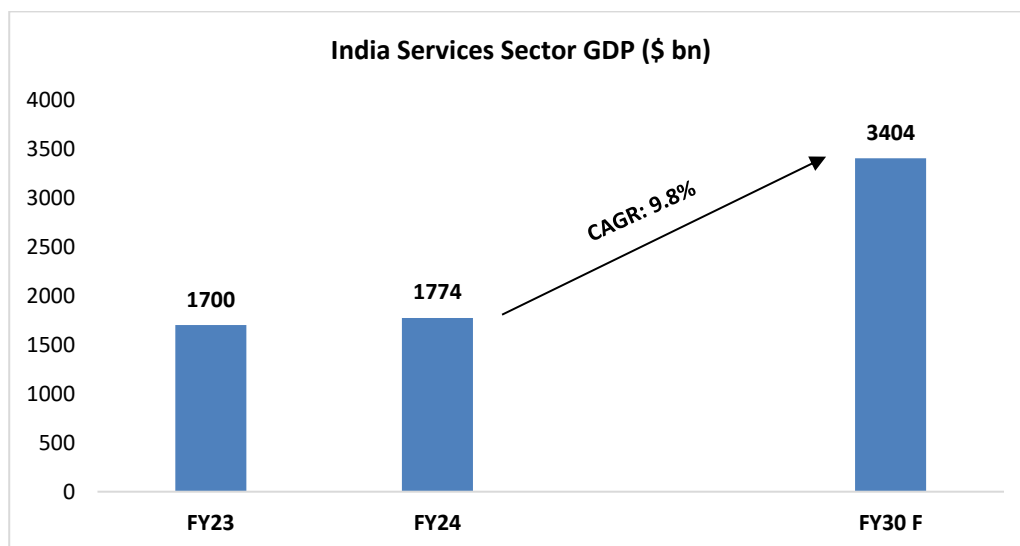
* Includes revenue from sale of traded goods, event management income and commission, and business support income.

Source: RHP, SSL Research

Industry Overview

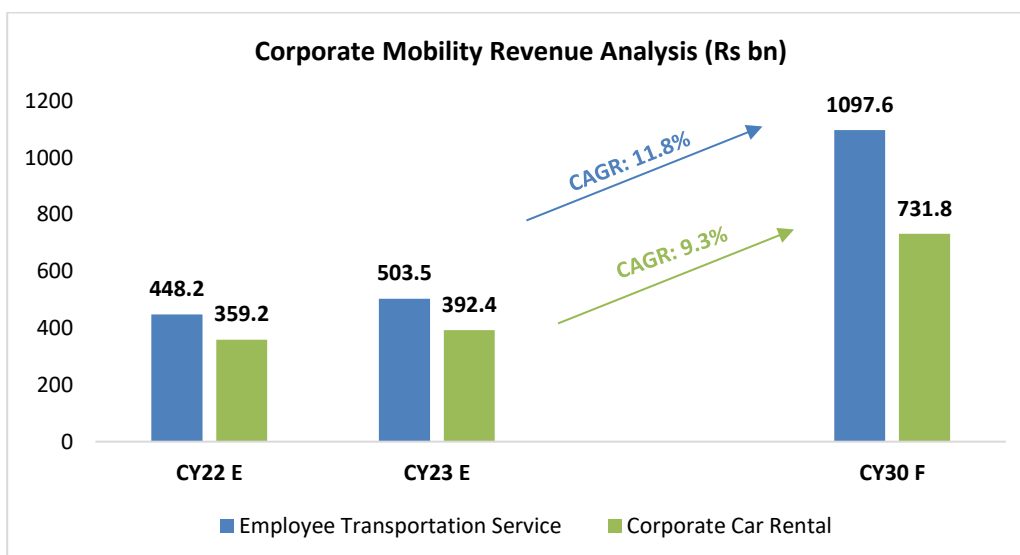
Indian Services Sector:

The **Indian Services sector** GDP is projected to reach \$3,404 bn by FY2030, up from \$1,774 bn in FY2024, with a growth rate of 9.8% per annum. In FY2024, the sector accounted for 48.9% of the total GDP. The expanding services sector will positively impact **Corporate (including ETS & CRR) and Shared mobility**, driven by robust employment growth in the Indian tertiary sector. Additionally, the rise in infrastructure construction and tourism sector will generate steady demand for shared mobility and tourist transport. By CY2028, the number of foreign tourist arrivals in India is expected to reach 30.5 million, with revenues of \$59 bn further stimulating the demand for tourist transport.



Source: RHP, SSL Research

In CY2023, the **Employee Transportation Service (ETS)** market in India generated Rs 503.5 bn in revenue and is expected to reach Rs 1,097.6 bn by CY2030, growing at a CAGR of 11.8%. This growth is in line with India's expanding economy, the rise of the organized sector, and increasing employee expectations for convenient commutes. On the other hand, the Indian **Corporate Car Rental (CCR)** market, estimated at Rs 392.4 bn in CY2023, is experiencing healthy growth driven by increasing business travel needs, a focus on employee well-being and the demand for premium services. It is projected to grow at a CAGR of 9.3% to reach an annual revenue of Rs 731.8 bn by CY2030.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	147	423	554
YoY growth (%)	-	186.9%	31.2%
Cost Of Revenues (incl Stock Adj)	99	297	389
Gross Profit	48	126	165
Gross margins (%)	32.6%	29.8%	29.8%
Employee Cost	21	42	57
Other Operating Expenses	9	14	18
EBITDA	18	70	90
EBITDA margins (%)	12.3%	16.5%	16.2%
Other Income	4	3	14
Interest Exp.	1	2	3
Depreciation	8	12	19
PBT	13	58	82
Exceptional item/Extraordinary item	0	0	0
Tax	3	15	20
PAT	10	44	63
PAT margin (%)	6.7%	10.3%	11.3%
EPS	1.6	7.3	10.4

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	13	32	38
Capital WIP	0	0	0
Intangible Assets	0	0	0
Intangible Assets under development	0	0	1
Right of use assets	1	5	8
Other Noncurrent Assets	6	14	9
Current Assets			
Current Investment	29	41	89
Inventories	0	0	0
Trade receivables	21	65	71
Cash and Bank Balances	13	6	6
Short-term loans and advances	0	1	0
Other Current Assets	29	66	74
Total Current Assets	93	179	241
Current Liabilities & Provisions			
Trade payables	21	45	59
Other current liabilities	13	27	25
Short-term provisions	1	1	2
Total Current Liabilities	35	74	86
Net Current Assets	58	105	155
Assets Classified as held for sale	0	0	0
Total Assets	78	156	211
Liabilities			
Share Capital	0	0	12
Reserves and Surplus	72	115	165
Total Shareholders Funds	72	115	177
Minority Interest	0	0	0
Total Debt	3	33	22
Long Term Provisions	2	3	4
Lease Liabilities	1	5	8
Other Long-Term Liabilities	0	0	0
Net Deferred Tax Liability	0	0	0
Total Liabilities	78	156	211

CASHFLOW (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	22	16	67
Cash flow from Investing Activities	(8)	(47)	(54)
Cash flow from Financing Activities	(13)	18	(11)
Free Cash Flow	21	(17)	44

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	8.8%	19.0%	21.1%
Return on Capital Employed	19.0%	40.9%	42.7%
Return on Equity	13.8%	37.9%	35.2%
Margin Analysis			
Gross Margin	32.6%	29.8%	29.8%
EBITDA Margin	12.3%	16.5%	16.2%
Net Profit Margin	6.7%	10.3%	11.3%
Short-Term Liquidity			
Current Ratio (x)	2.4	1.9	2.3
Quick Ratio (x)	2.4	1.9	2.3
Avg. Days Sales Outstanding	53	56	47
Avg. Days Inventory Outstanding	-	0	0
Avg. Days Payables	53	39	39
Fixed asset turnover (x)	11.7	13.4	14.5
Debt-service coverage (x)	3.1	1.7	3.5
Long-Term Solvency			
Total Debt / Equity (x)	0.0	0.3	0.1
Interest Coverage Ratio (x)	11.3	27.1	31.2
Valuation Ratios*			
EV/EBITDA (x)	110.5	29.1	22.4
P/E (x)	203.0	46.0	32.0
P/B (x)	28.0	17.4	11.3
EV/Sales (x)	13.5	4.8	3.6

**Valuation ratios are based on pre-issue capital at upper price band*

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	ECOS Mobility & Hospitality	Wise Travel India	Shree OSFM E-Mobility
CMP	334.0	294.0	190.0
Sales	554.4	411.0	118.0
EBITDA	90.0	43.0	13.0
Net Profit	62.5	23.0	8.0
Mkt Cap.	2,004.0	699.0	271.0
Enterprise Value	2,019.3	622.0	251.8
EBITDA Margin (%)	16.2	10.5	11.0
Net Margin (%)	11.3	5.6	6.8
PE (x)	32.0	30.2	33.5
EV/EBITDA (x)	22.5	14.5	19.4
RoE (%)	35.2	57.2	39.6
RoCE (%)	42.7	51.9	36.7
EV/Sales (x)	3.6	1.5	2.1

For ECOS (India) Mobility & Hospitality, the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as on 27th August, 2024.

Source: RHP, SSL Research

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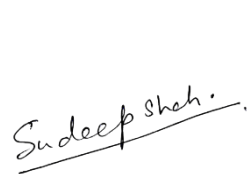
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